

Strategic Communication in Modern Central Banking

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Note

Introduction

Strategic communication has become a central instrument of modern monetary policy. Under FPAS Mark II, communication is not supplementary—it is a core policy tool. Clear, transparent, and timely communication strengthens credibility, aligns expectations, and helps the public and financial markets interpret the central bank's risk assessments.

This session explores how FPAS Mark II reframes communication as an integral component of uncertainty management, expectations formation, institutional as well as individual accountability, and monetary policy transmission.

1. Communication as a Policy Instrument

Earlier monetary policy regimes treated communication as an afterthought—mostly descriptive, not analytical. Under FPAS Mark II, communication becomes a true policy instrument. It must help to:

- shape expectations,
- clarify risks, and
- explain judgment under uncertainty.

Policy statements, press briefings, Executive Summaries, attributed minutes, and scenario-based presentations collectively help markets understand the Board's thinking. The goal is not precision, but clarity about how the central bank interprets risks and evaluates decisions in a least-regrets framework.

The main objective of the FPAS Mark II central bank communication strategy is to make the decision-making process transparent and understandable for financial markets and the wider public. The aim is not to eliminate uncertainty about the economic outlook—

something no central bank can do—but to eliminate uncertainty about the central bank’s commitment to price stability. By explaining the framework, the risks under consideration, and how policy would respond as conditions evolve, the CBA strengthens both credibility and accountability.

Over the past decade, many central banks have broadened their communication goals to include demonstrating technical expertise, forecasting skill, and analytical thoroughness. But during periods of heightened uncertainty, these goals are not enough. Attempts to convey precision where none exists can crowd out private information, create false assurances, and ultimately weaken credibility. FPAS Mark II therefore places greater emphasis on communicating the structure of the policy framework, the uncertainties shaping the outlook, and the central bank’s readiness to respond to a range of possible scenarios.

The CBA’s communication principles reflect this modern approach. They provide the foundation for a transparent, responsible, and resilient policy strategy.

Clarity of Objectives

The public must understand the goals of monetary policy. Clear communication of the inflation target, the time horizon over which policy aims to achieve it, the tools used to influence the economy, and the trade-offs that may arise ensures that monetary policy decisions can be interpreted correctly. This clarity forms the basis for accountability and helps anchor expectations.

Transparency in Decision-Making

Communication should explain how policy decisions are made. This includes an honest description of current economic conditions, the uncertainties surrounding them, the risks that matter most for policy, and the reasoning behind the chosen policy stance. Structured, scenario-based communication encourages the public to see not only what the central bank decided, but *why* it made that choice.

Policy Agility

Uncertainty requires flexibility. By openly discussing risks and providing a structured view of how policy would adjust if certain developments occur, the central bank preserves its ability to act decisively without contradicting previous messages. Communication that acknowledges uncertainty and prepares the public for different possibilities strengthens the institution’s capacity to respond swiftly when conditions change.

Scenario-Based Forward Guidance

Under FPAS Mark II, forward guidance is grounded in the publication of scenario-consistent policy paths. These paths are accompanied by narratives that explain the economic forces behind each scenario and the policy implications they generate. This approach moves away from narrow expressions of a “most likely” future and instead offers a broader, more realistic view of the range of outcomes the economy may face. It helps markets and the public understand how the central bank thinks about risk and how policy would respond under different circumstances.

Credibility

Credibility is reinforced when communication is disciplined, structured, and honest. A communications strategy that acknowledges uncertainty, explains trade-offs, and avoids overstating the central bank’s predictive ability helps maintain trust even when the economy evolves in unexpected ways. By focusing on the framework rather than point forecasts, the CBA reduces the risk of misinterpretation, avoids crowding out private views, and builds a durable foundation for policy effectiveness.

Analytical Transparency

Transparent communication also requires openness about the analytical tools that inform policy discussions. Publishing data, models, and background materials—where appropriate—allows analysts and researchers to understand and replicate the central bank’s reasoning. The use of open-source tools further supports this objective and helps elevate the quality of public debate.

Together, these principles form the backbone of the CBA’s monetary policy communication framework. They shape how decisions are explained, how uncertainty is addressed, and how the institution maintains credibility while operating in an unpredictable and rapidly changing environment.

2. Transparency and Accountability as Foundations

Strategic communication supports transparency-vital for maintaining credibility in a small open economy. FPAS Mark II requires:

- clear explanations of decisions,
- structured presentation of scenarios,
- attribution of votes and individual reasoning, and
- timely publication of reports.

Transparency allows the public to understand not just **what** the central bank decided but **why** the decision was made despite uncertainty. Accountability is reinforced when Board members explain their reasoning and interpretation of risks.

3. Scenario-Based Communication

FPAS Mark II organizes communication around scenarios rather than deterministic forecasts. Instead of projecting a single path for inflation and output, the central bank explains a distribution of possible outcomes.

Scenario-based communication shifts the narrative from “certainty projection” to “risk distribution.” It helps prevent misinterpretation by showing that risks—not baselines—drive policy decisions. This strengthens credibility and allows markets to form more accurate expectations.

Building on the simple classification between demand and supply shocks, FPAS Mark II organizes all policy-relevant risks into a structured matrix known as the **Taxonomy of Scenarios**. This taxonomy provides a comprehensive overview of the main shocks and sources of uncertainty that could affect the Armenian economy, describing their implications for inflation, output, and financial conditions, and indicating in broad terms how monetary policy might need to react.

All scenarios included in the taxonomy are grouped into **Case A-type** considerations—expansionary demand or contractionary supply shocks that tend to push inflation up—and **Case B-type** considerations—contractionary demand or expansionary supply shocks that tend to push inflation down. While many other ways of classifying shocks are possible, this demand–supply structure gives policymakers a clear framework for identifying the source of inflationary pressures and assessing the associated macroeconomic risks. Once the nature and direction of a shock is understood, it becomes easier to judge whether policy should lean against overheating, cushion a downturn, or accommodate a favourable supply development without allowing expectations to drift.

The taxonomy, however, is more than an internal analytical tool. It is also a central element of the CBA’s communication strategy. Under the least-regrets decision-making framework, policy decisions are motivated by the need to manage one or more risks that could threaten price stability over the medium term. The taxonomy provides a common reference point for describing these risks. It summarizes the full set of scenarios that matter for policy—those raised by Board members, staff, financial markets, and the wider public—and, in practice, functions as a catalogue of narratives that have influenced at least one Board member’s decision in a given round. An updated version of this taxonomy

is published in each quarterly Monetary Policy Report, giving external audiences a window into the range of risks that the Board is actively considering.

This structure is especially important in a setting where decisions are taken by an eight-member Board. The policy rate reflects a majority vote, but each Board member's decision is shaped by their own least-regrets logic. One member may vote to cut rates because they are primarily worried about a Case B-type risk such as slowing global demand, while another may favour no change because they see risks as broadly balanced. Even when members cast the same vote—for example, a 25-basis-point cut—they can be responding to different concerns: one might focus on domestic demand conditions, another on the trajectory of foreign interest rates. The taxonomy allows these different motivations to be expressed in a clear, structured language. It helps Board members explain which scenarios they are trying to guard against and makes the rationale behind each vote more transparent and accountable.

Within each quarterly policy round that includes a Monetary Policy Report, one Case A and one Case B scenario (and, when needed, additional Case X or Case Y scenarios) are selected from the taxonomy for full quantification. These are **illustrative scenarios**. They are not chosen because they are viewed as the most likely or most desirable outcomes, but because they provide useful examples of **how policy would typically respond if particular risks materialized**.

Selection follows a simple communication–feasibility rule. First, the scenario must lend itself to a clear and intuitive narrative that can be explained to a broad audience. Second, it must be technically feasible to quantify, given available data, models, and staff resources. Once selected, each illustrative scenario is developed into a macro-consistent projection for inflation, output, the policy rate, and other key variables, accompanied by a concise qualitative narrative.

The purpose of these quantified scenarios is to give the public a concrete sense of the CBA's reaction function in a risk-management framework: how a prudent central bank would normally behave under specific configurations of shocks. For example, one illustrative Case A scenario might explore the consequences of domestic demand overheating, while an illustrative Case B scenario might examine the effects of a correction in the real estate market. These cases are not presented as central forecasts nor as the most pressing risks; rather, they are used to show how policy would be adjusted if such conditions were to arise, and what that would mean for inflation and activity. The accompanying projections also help Board members explain and support their policy choices by linking their votes to clearly defined risk narratives.

Crucially, neither the Case A nor Case B scenarios assign probabilities to particular outcomes, nor do they attempt to capture the full universe of risks at any point in time. Their role is expository, not prescriptive. They translate the abstract idea of “managing risks” into concrete, macro-consistent stories that demonstrate how the CBA stands ready to adjust the policy stance—up or down—to prevent the economy from sliding into “dark corners” that would jeopardize medium-term price stability.

For this reason, the qualitative narrative that accompanies each scenario is as important as the numerical projections. It explains why the scenario matters, how it interacts with the inflation target, and why policy intervention would be required. Together, the narrative and the projections form the core of forward guidance under FPAS Mark II. Instead of centering communications on a single baseline that will never materialize exactly as forecast, the framework uses illustrative scenarios drawn from the taxonomy to show how the central bank thinks and how it would act across different states of the world.

4. The Role of Expectations in Monetary Transmission

Monetary policy operates largely through expectations. Expectations of:

- future interest rates,
- inflation,
- financial conditions,
- external developments etc.

shape economic behaviour. FPAS Mark II acknowledges that clear communication reduces risk premiums, anchors expectations, and supports smoother transmission.

When the public understands the central bank’s reaction to risks, volatility decreases and policy becomes more effective.

5. Communication Vehicles Under FPAS Mark II

The Central Bank of Armenia employs a suite of communication tools, each serving a specific purpose:

- Monetary Policy Report (MPR)
- Executive Statement
- Attributed minutes
- Press conferences
- Analyst briefings

- Media interviews
- Public speeches
- Transparency report
- Educational materials via the Learning Hub

The MPR provides analytical depth; the Executive Statement summarizes decisions in plain language. Attributed minutes enhance transparency by documenting individual reasoning. Educational materials help build broader economic understanding in society.

6. Risk Communication and Credibility

FPAS Mark II emphasizes open and honest communication of risks. Concealing uncertainty damages credibility; acknowledging uncertainty strengthens it. The central bank gains trust by explaining what it knows, what it does not know, and how it plans to respond to different scenarios.

By framing decisions through a least-regrets mindset, communication conveys that policy is designed to minimize costly errors in an uncertain environment. This reinforces long-term credibility and stabilizes expectations.

Conclusion

Strategic communication under FPAS Mark II is a core policy instrument. It aligns expectations, manages uncertainty, strengthens accountability, and enhances credibility. By presenting structured scenario-based communication, the Central Bank of Armenia ensures that markets, analysts, and the public understand the rationale behind decisions and the risks shaping the policy environment.

Communication is not an accessory-it is essential to modern monetary policy.

Literature & Further Reading

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Script

Hello everyone, I’m Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this session, we’ll look at how communication becomes a genuine policy instrument under FPAS Mark II, and how it helps the Central Bank of Armenia manage uncertainty, shape expectations, and strengthen credibility.

In earlier frameworks, communication was often treated as an add-on: the decision came first, and the explanation followed. Under FPAS Mark II, that logic is reversed. Communication is built into the policy framework from the start. The objective is not to pretend that we can remove uncertainty about the future, but to remove uncertainty about the central bank’s commitment to price stability. By explaining the framework, the risks we are watching, and how policy would react as conditions evolve, we give markets and the public a clear view of how we think and how we intend to act.

In this setting, communication must do three things. It has to shape expectations in a way that is consistent with the inflation target. It has to clarify which risks matter for policy and why. And it has to explain how the Board exercises judgment when the outlook is uncertain and the data are noisy. Policy statements, press conferences, Executive Summaries, attributed minutes, and scenario-based presentations all serve this purpose. The goal is not to deliver precise point forecasts, but to be clear about how the central bank interprets the balance of risks and how it evaluates decisions in a least-regrets framework.

Over time, many central banks have used communication to showcase forecasting skill and technical sophistication. Under normal conditions, that may seem reassuring. But in periods of heightened uncertainty, focusing too much on apparent precision can backfire. It can crowd out private information, create an illusion of control, and ultimately undermine credibility when reality diverges from the projected path. FPAS Mark II deliberately shifts the emphasis. We place more weight on communicating the structure of the policy framework, the key uncertainties shaping the outlook, and the central bank's readiness to respond across a range of scenarios.

The communication principles of the CBA reflect this shift. First, they focus on clarity of objectives. The public needs to understand what they are trying to achieve: the inflation target, the horizon over which we intend to reach it, the tools they use, and the trade-offs that sometimes arise. Without this clarity, even a technically sound decision can be misread. Second, they emphasize transparency in decision-making. Every communication round aims to explain how they see current and underlying conditions, which risks they consider most relevant, and why the chosen policy stance is appropriate given that configuration of risks. Third, they preserve policy agility by openly discussing uncertainty and by explaining in advance how policy might adjust if certain developments occur. This gives us room to react quickly without contradicting previous messages. Fourth, forward guidance is expressed through scenarios rather than a single path. They publish policy-consistent scenarios with narratives that show how different shocks would affect the economy and the policy rate. Finally, they support all this with analytical transparency, by gradually opening up the data and tools that underpin our assessment, so that external analysts can understand and, where possible, replicate our reasoning.

Transparency and accountability are at the core of this system. Under FPAS Mark II, it is not enough to announce a decision; they must also explain why it was taken, despite uncertainty, and how it relates to the broader risk distribution. The structure of our communications reflects this: the Monetary Policy Report lays out the analysis and scenarios; the Executive Statement explains the decision in accessible language; and the

publication of individual Board vote explanations shows how each member interpreted the risks and applied the least-regrets principle. This openness allows the public to judge whether they are acting consistently with our mandate and whether they adjust course when the facts change.

A key innovation in FPAS Mark II is that communication is organized around scenarios, not deterministic forecasts. Instead of telling a single story about the future, they explain several plausible paths and how policy would respond under each. This shifts the narrative from “this is what will happen” to “these are the risks they face and this is how they would react.” It helps prevent the baseline from being treated as a promise and instead highlights that policy is driven by the entire distribution of outcomes.

Within this framework, all policy-relevant risks are collected into a structured matrix called the Taxonomy of Scenarios. This taxonomy groups scenarios into Case A-type situations, where expansionary demand or contractionary supply pushes inflation up, and Case B-type situations, where contractionary demand or expansionary supply pushes inflation down. This simple supply–demand structure gives policymakers a common language for identifying the source of inflationary pressures and for thinking through the appropriate policy response. It also serves as a key communication device. An updated version is published in each Monetary Policy Report, giving markets and the public a clear view of the shocks, narratives, and risks that are actively shaping Board discussions.

This is particularly important in a system where the policy rate is set by an eight-member Board. Each member votes according to their own least-regrets logic. Two members may cast the same vote for different reasons, or different votes based on different priorities. The taxonomy allows these motivations to be expressed in coherent, comparable terms: each member can point to the scenarios they are most concerned about and explain how their preferred decision helps manage those risks. This not only increases transparency, it also strengthens individual accountability.

In each quarterly round with a Monetary Policy Report, they select one Case A and one Case B scenario from the taxonomy for full quantification. These are illustrative scenarios. They are chosen not because they judge them to be the most likely outcomes, but because they help show how policy would operate if certain risks materialized. Selection follows a simple rule. The scenario must be easy to explain in plain language, and it must be feasible to quantify with the models and data available. Once selected, each scenario is developed into a macro-consistent projection for inflation, output, the policy rate, and other key variables, accompanied by a concise narrative.

These quantified scenarios give the public a concrete sense of the CBA's reaction function in a risk-management setting. For example, one illustrative Case A scenario might examine the consequences of domestic demand overheating; an illustrative Case B scenario might explore the effects of a correction in the housing market. The projections show how they would adjust policy in each case, and what those choices would mean for the economy. At the same time, they help Board members communicate their votes: they can explain which scenario they are most worried about and how their decision helps prevent the economy from sliding into a dark corner that would undermine price stability.

Expectations are the main channel through which this communication framework works. Monetary policy is powerful largely because people form views about future interest rates, inflation, financial conditions, and external developments, and then act on those views. When the public understands how they will react to different risks, risk premia tend to be lower, volatility is reduced, and transmission becomes smoother. Instead of guessing what the central bank might do, markets can align their expectations with a clearly articulated reaction function anchored in the least-regrets principle.

To support these objectives, the Central Bank of Armenia uses a broad set of communication tools. The Monetary Policy Report provides the analytical backbone and lays out the scenarios, the taxonomy of risks, and the underlying data. The Executive Statement summarizes the decision and its reasoning in accessible language. Attributed minutes and published vote explanations show how individual Board members assessed the risks and how they justified their positions. Press conferences, analyst briefings, interviews, public speeches, and educational materials through the Learning Hub further reinforce these messages, adapting the level of detail and technicality to the audience.

Finally, FPAS Mark II places special emphasis on risk communication. Credibility is not built by pretending that uncertainty does not exist; it is built by being open about what they know, what they do not know, and how they plan to respond to different possibilities. By framing decisions in least-regrets terms, they explain that policy is designed to minimize costly mistakes in an uncertain environment, not to hit a narrow point forecast. Over time, this honesty about uncertainty strengthens trust, stabilizes expectations, and makes the policy framework more resilient.

To sum up, strategic communication under FPAS Mark II is a core part of monetary policy. It aligns expectations with the price stability mandate, clarifies how risks shape decisions, and reinforces both institutional and individual accountability. By using structured, scenario-based communication and publishing the taxonomy of shocks and illustrative cases, the Central Bank of Armenia allows markets, analysts, and the public to see not

just the decisions they take, but the thinking behind them. Communication, in this framework, is not an accessory. It is an essential instrument of modern monetary policy.

Thank you for watching!